

Bid Approval & Project Controlling Policy

S&T AG	
Area of Application:	S&T Group
Related Processes/Sub-processes:	RP03-07 Quotation & Contract; RP03-03 International Partner Sales; RP04 Procurement & Resource Management; RP05b Project Management
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Goals / Objectives

This policy applies to all commercial transactions with customers (referred to as “projects”) such as agreements to sell goods or services, outsourcing agreements etc.

The objectives of the bid approval & project controlling process are as follows:

- Ensure transparent project calculation & approval supported by documentation that adequately describes the full scope of delivery, its terms & conditions, and related risks
- Involve all parties concerned early i.e. Sales, Delivery and F&A
- Ensure structured and transparent controlling across the whole lifecycle of the project

Responsible for local implementation

F&A Manager, Country Manager

Definitions

Term	Explanation
AM	Account Manager, Refers to any sales person responsible for defined accounts or solutions.
AP	Approval Point
BAT	Bid Approval Template
BUM	Business Unit Manager / Professional Services Organization Manager / Delivery Unit Manager
Bid	Official proposal to the customer for project execution under exactly defined conditions
COS	Conditions of Satisfaction
Deal	All commercial transactions with customers such as agreements to sell goods or services, outsourcing agreements etc. that are in sales phase
F&AM	Finance & Admin Manager
IDC Mgr	International Delivery Center Manager
OP	Order Processing/Procurement Manager
PM	Project Manager
PQA	Project Quality Audit
PRA	Project Risk Assessment

Term	Explanation
Project	All commercial transactions with customers such as agreements to sell goods or services, outsourcing agreements etc. that are in delivery phase
PRP	Project Recognition Plan
PRR	Project Recognition Report
PSR	Project Status Report
QM	Quality Manager
RACI-model	Technique used to describe the involvement of functional roles in the activities of the process. The involvement can be: R – Responsible: Responsible for correct execution of the process A – Accountable: Approves and has ultimate ownership of quality and results C – Consulted: Has to provide input to complete the activity I – Informed: Receives information about process execution and quality
RM	Resource Manager
SegM	Segment Manager
T&C	Terms & Conditions
T&M	Time and material
Term	Explanation

S&T project types:

Project type	Explanation
Implementation	implementation projects with defined project structures, deliverables, timeframe. Usually comprise SW, HW, services. Also include pure consulting projects.
Outsourcing	outsourcing projects
Support	support contracts
Trading	pure SW/HW deliveries, usually no or minor services included

List of applicable templates

- Bid Approval Template
- Conditions of Satisfaction
- Project Recognition Plan
- Project Status & Recognition Report

Related policies and manuals

- Internal Cost Rates Calculation Manual
- Revenue Recognition Manual
- Local Signature Policy
- General Terms and Conditions of S&T
- S&T PROMET® PM Methods Manual 2.0 for Project Management (Change Request Process)
- Legal Archive Manual

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1 Bid calculation and approval

1.1 General principles and rules

Sufficient preparation and review time: It is the responsibility of every (sales) person preparing a customer bid/contract to ensure that appropriate time is available for the complete calculation & approval process. Failure to ensure sufficient time for thorough calculation and review shall not be used as a justification for requesting expedited or abbreviated approval.

Securing all necessary signatures: The internal approvers are defined in the approval matrix (please, see chapter 1.5). In cases where more than one approver is required, all necessary approvers must give their approval. The Account Manager (Opportunity Owner) is responsible for collecting all required approvals on the final BAT. Persons responsible for approval shall give approval or non-approve with mentioning the reason within 48 hours from the receipt of BAT. . That response time is valid only if the submitted BAT contains all the requested information based on which reliable decision can be taken. In case of incompleteness of BAT, persons responsible for approval shall request corrective action within 24 hours from the receipt of BAT. Necessary signatures on the contract are defined in the local Signature Policy.

Requirement of a written approval: Verbal approvals are not considered to be valid approvals by this policy; approval evidence has to be given by signature or at least by email. The approver confirms with his signature/written approval that the proper approval instance has checked and accepts the calculation and risks identified in the BAT.

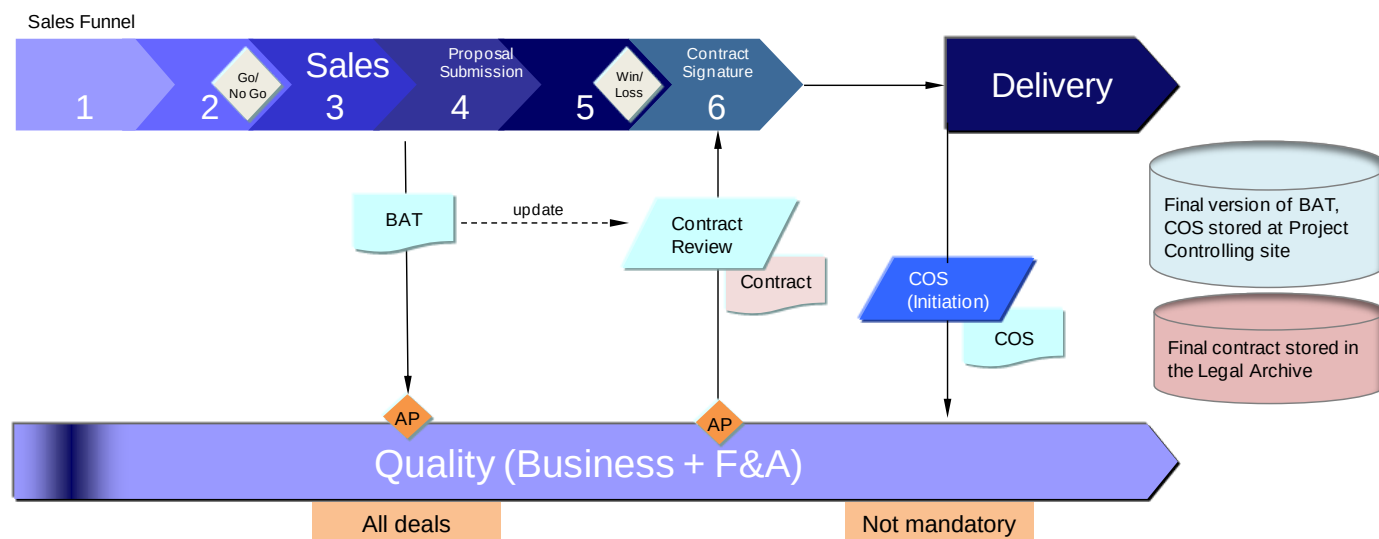
Document identification: Final versions of documents prepared in the bid approval and project controlling process have to be clearly marked with the word FINAL.

Records retention: Final BAT and the approval(s) evidence shall be kept for a minimum of 7 years. A copy of the signed customer contract has to be filed in the [Legal Archive](#).

1.2 Process description

To ensure deals/projects are planned and approved in a timely and effective manner, Sales, Delivery and F&A department must complete all steps in the approval and project controlling process.

Graphical presentation of process steps including related documents:



During the sales phase the Account Manager (AM) takes the lead to close the contract with the customer and is therefore responsible for getting all the bid related documents prepared.

The matrix below describes

- the activities related to bid approval during the sales phase,
- the involvement of each role according to RACI-model, and
- the templates to be used.

Activity \ Role	Responsible	Accountable	Consulted	Informed	Additional Information	Template
1. Prepare Bid Approval Template (BAT)	AM		F&A M, PM, BUM, Seg M,		For all opportunities in sales stage 4 "Project Proposal" the AM has to prepare the BAT and collect the input from all parties involved. For detailed input collection, please, see chapter 1.3. Update in later sales stages is required in case of change in project set-up and/or profitability.	BAT
2. Get approval for BAT	AM	See Approval		PM	When the final BAT is ready the AM forwards it to the approvers to collect the approvals according to the	BAT

Activity \ Role	Responsible	Accountable	Consulted	Informed	Additional Information	Template
		Matrix			approval matrix. The designated approvers must review the BAT including the checkpoints and approve or reject with reason.	
3. Prepare contract and collect signatures	AM	See local Signature Policy	F&A M, Legal	PM	The final signed customer contract has to be filed in the Legal Archive.	
4. Agree on Conditions of Satisfaction (COS)	AM			PM	For implementation projects where also qualitative parameters of delivery are crucial for project success, COS are defined with the customer after contract signature at the beginning of the delivery phase.	COS

All related templates are automatically populated in the “Project Controlling” site of the specific project on Sharepoint. There they have to be stored in their final versions. The signed customer contract has to be archived in the Legal Archive in CRM.

1.3 Data collection for BAT

The matrix below describes the activities that need to be performed in the BAT preparation process.

Steps 1-3 follow the sourcing rule of S&T, which prescribes that staffing decisions for projects has to be done in the following order:

1. Local/own subsidiary
2. Other subsidiaries within S&T Group
3. External

Only defined tasks that cannot be effectively accomplished in-house because of lack of equipment or availability of personnel with the requested skills shall be contracted to outside suppliers.

Input type	Responsible	Accountable	Consulted	Informed	Additional Information	Worksheet of BAT
1. Cost and sales price for services from local staff	AM		PM, BUM, SegM,		BUM and/or SegM has to provide and commit to local staff input for project delivery (resources/ man-days/ costs/ timeline). OPEX calculation is based on cost rates according to Internal Cost Rates Calculation Manual.	Delivery Plan
2. Cost and sales price for services from other S&T subsidiaries or IDC	AM		PM, BUM, SegM, IDC Mgr		Other S&T subsidiary BUM/SegM or IDC delivery manager have to provide and commit input for project delivery (resources/ man-days/ costs/ timeline).	Delivery Plan
3. Cost and sales price for goods and services from external suppliers	AM		OP, RM, PM		If a purchase from an external supplier is required, the Procurement Manager (OP) is responsible for checking supplier terms & conditions and selecting/acquiring needed goods and services as profitable as possible. If no local or other S&T internal resources are available, OP will select external service supplier in cooperation with RM.	Delivery Plan
4. Other OPEX	AM		F&A M, PM		Include other OPEX related to the project e.g. bank guarantee costs, depreciation, spare parts, etc.	Delivery Plan, Commercial Risks
5. Commercial and Project risks	AM		F&A M, OP, PM		AM, F&AM and OP/Procurement Manager evaluate and mitigate commercial and project risks based on pre-defined checkpoints (please, see chapter 1.4). For implementation projects, delivery risk assessment needs to be prepared in the Project Risks worksheet.	Commercial Risks; Project Risks

For simple trading (resell) projects only the worksheets “Delivery Plan” and “Commercial Risks” have to be filled in.

1.4 Mitigation of major risks

As part of the approval process commercial and financial risks based on pre-defined checkpoints have to be evaluated to provide an overview on the major risks in the project. Risk mitigation actions, risk related costs, or/and risk uplifts have to be considered and included in the project calculation in a transparent way. In general, risk uplifts need to be considered carefully to preserve price competitiveness of S&T bids. Instead, it is recommended to use other mitigation techniques as described below.

Each proposal submitted to the customer has to contain the standard Terms & Conditions (T&C) of S&T, and should serve as basis for subsequent contract negotiation. Any exceptions from standard T&C have to be treated carefully.

The following major checkpoints are included in the BAT and are to be considered thoroughly:

- **GM II % Services & Goods:** Project profitability must be in line with expected profitability defined in the template. Local F&A manager defines individual country profitability thresholds for the given year and enters them in the BAT worksheet “Approval Sheet”.
- **Customer Credit Check:** Customer’s credit risk & payment discipline towards S&T is assessed by F&A manager. The result of this assessment has to be reflected in the payment terms agreed with the customer by the Account Manager (please, see the BAT worksheet “Commercial Risks”).
- **Payment Terms & Cash Flow:** Customer payment terms must be in line with supplier payment terms (at least back-to-back agreement) to avoid financing gaps. Order processing/Procurement Manager is responsible for checking and optimizing supplier terms & conditions. Delivery of projects with own resources can also trigger negative cash flows if invoicing milestones are not set favorably. Always consider partial delivery & invoicing milestones as early as possible in the delivery process (see BAT worksheet “Commercial Risks”).
- **Liabilities:** Liability for direct damages must not be higher than the total contract value. Special exceptions can be granted in accordance with the approval matrix. Extended liability clauses should be covered e.g. by relevant insurance. Cost of such insurance should be part of project calculation (in BAT worksheet “Delivery Plan”, section “Financial Risk Costs, Uplifts & Other OPEX”).
- **Penalties:** Penalty clauses agreed in contracts have to be balanced on both contractual sides (back-to-back). Penalty levels should be kept at minimum levels. Penalties related to project delivery e.g. on time delivery; data protection, etc. need to be minimized through proper project planning (time, resources) and protective measures (e.g. special contracts with consultants working on the project). Special measures need to be stated

in BAT worksheet “Commercial Risks”, possible sales price increase for penalty might be included in BAT worksheet “Delivery Plan”, section “Financial Risk Costs, Uplifts & Other OPEX”.

- **Warranties:** Warranties for goods and services sold should be in line with warranties purchased from the suppliers (back-to-back). Warranty for own services should not exceed 12 months. Longer warranties need to be compensated by a price increase towards the customer (in BAT worksheet “Delivery Plan”, section “HW & SW”).
- **Bank guarantees:** Costs of bid or performance bank guarantees need to be included in the project calculation (in BAT worksheet “Delivery Plan”, section “Financial Risk Costs, Uplifts & Other OPEX”). Guarantees provided should be kept at a minimum, and might be minimized further e.g. by partial deliveries against a partial release of guarantees.
- **Price indexation:** Prices of long-term customer contracts (e.g. outsourcing) have to be indexed (i.e. against consumer price index (CPI) to cover inflation. Also the OPEX (internal cost rates) of subsequent years should be adjusted to cover price increases to calculate the correct GM II (in BAT worksheet “Delivery Plan”, section “Financial Risk Costs, Uplifts & Other OPEX”).
- **Delivery Risk:** Is assessed for implementation projects in the BAT worksheet “Project Risks”. In case of high (red) delivery risks, additional safety margin (i.e. by increasing the number of man-days required) should be added on top of the project calculation (in BAT worksheet “Delivery Plan”, section “Local Resources/Staff (OPEX)”).

1.5 Approval Matrix

The approval matrix describes the approval criteria and approvers necessary. The approval criteria in the approval matrix differentiate between large and small countries and define minimum requirements. Locally stricter controls are allowed.

The **approval** has to be done **per deal** (total contract value for single or multi-year).

The Account Manager is responsible for collecting all necessary approvals on the final version of the completed BAT, either in written form or by email. Contract amendments (change requests) that change the existing contract either in the contract value, the method of payment or other significant contract conditions, so that additional cost, risk or liability is transferred to S&T, must be reapproved according to the thresholds defined in the approval matrix.

Please note that **customer credit limits exceeding 3 MEUR need approval from S&T AG Supervisory Board**. Customer credit limit is understood as the preset amount/value per customer up to which the customer will receive deliveries and services from S&T on open invoice, without granting securities. Please forward the final calculation & approval sheet to the HQ COO, HQ CFO and HQ CEO who will ask for approval from Supervisory Board.

Once approved, the calculation will serve as baseline for monitoring the project/deal execution.

Approval Matrix:

Approval Criteria:		Responsible for Approval:					
Total Contract Value TEUR		F&AM	SegM or BUM	Country Manager	HQ Country COO	HQ CFO	HQ CEO
Large Countries ¹⁾	Small Countries ²⁾						
up to 300	up to 200	x ³⁾	all concerned ⁴⁾	x - if one checkpoint red			
300 - 800	200 - 400	x ³⁾	all concerned ⁴⁾	x	x - if one checkpoint red	x - if one checkpoint red	
800 - 1,000	400 - 1,000	x ³⁾	all concerned ⁴⁾	x	x	x	
> 1,000	> 1,000	x ³⁾	all concerned ⁴⁾	x	x	x	x

Notes:

1) Large Countries: Austria, Czech R., Croatia, Hungary, Poland, Romania, Slovakia, Slovenia

2) Small Countries: Albania, Bosnia H., Bulgaria, Mazedonia, Montenegro, Serbia

3) F&A Manager is responsible for credit check, has to approve always and has veto right.

4) Multinational deals must be approved by all Segment Managers from all countries involved.

Approvers give their approval in the sequence as they are stated in the matrix from left to right.

F&A Manager can execute his veto right in case of significant financial or commercial risks. In cases where no mutual agreement can be reached locally between the Country Manager and the Financial Manager, the Country Manager has the responsibility to escalate such cases to his direct report COO.

1.5.1 Implications for Framework Agreements

In case of framework agreements where all commercial conditions requested in BAT are agreed explicitly and approved (e.g. unit price, T&Cs, etc.), no separate approval processes are required for each individual deal under the given framework agreement.

In case of any deviation from the agreed conditions in the framework agreement, an approval process needs to be triggered for that particular deal.

1.5.2 Implications for Multinational Business

In case of multinational deals involving more S&T countries, each involved country has to run an approval process for its own part of the deal in accordance with this policy.

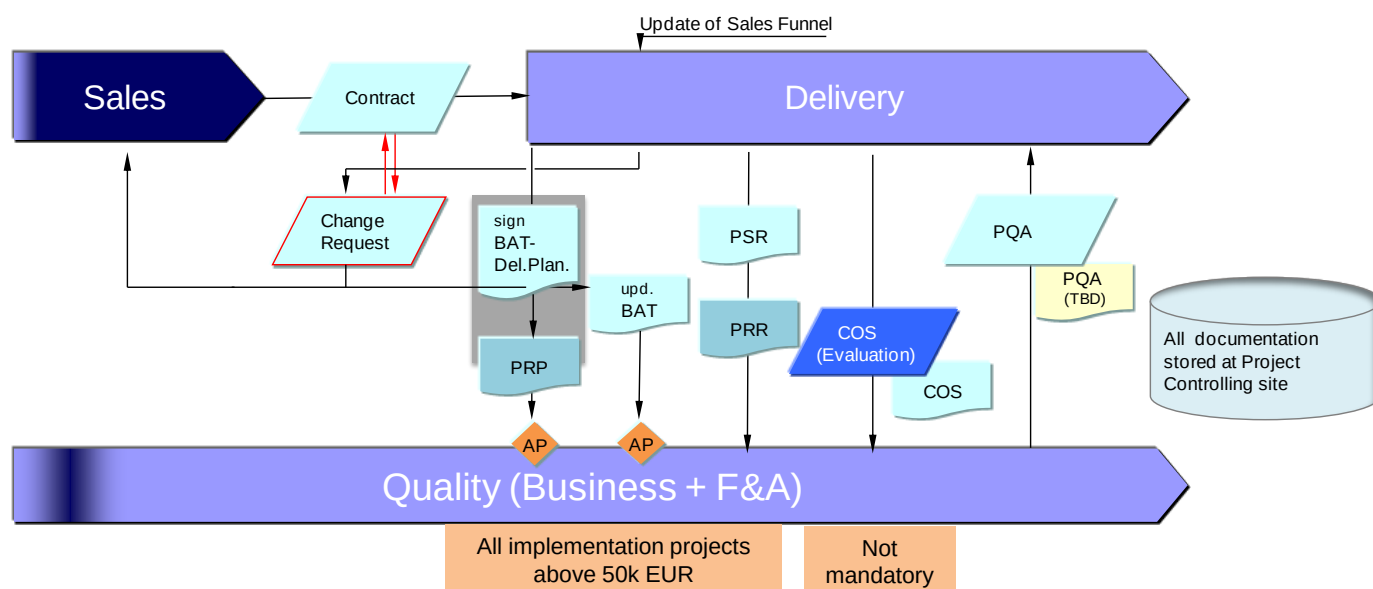
Commercial and project delivery details have to be agreed between the involved S&T companies in writing. For more complex services deals, the countries need to sign “Statement of Work”. Please, see the Statement of Work template on the Intranet Portal (F&A Manual -> Policies -> Contract Templates).

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2 Project delivery phase

2.1 Process description

Graphical presentation of process steps including related documents:



After the contract is signed the delivery phase starts. The Project Manager (PM) takes over responsibility for the delivery of the project and the achievement of the planned project margin. He has to prepare a monthly Project Status Report (PSR) which is the basis for the financial recognition by F&A.

The matrix below describes

- the activities related to project controlling during the delivery phase,
- the involvement of each role according to RACI-model,
- the templates to be used.

Activity \ Role	Responsible	Accountable	Consulted	Informed	Additional Information	Template
1. Check and Sign BAT - Delivery Plan	PM	BUM, F&A M	AM		At project start the PM takes responsibility for project profitability as calculated in the BAT applying the	BAT

Activity \ Role	Responsible	Accountable	Consulted	Informed	Additional Information	Template
					Internal Departmental Cost rates. In fixed price cross-country agreements between S&T subsidiaries, the project manager takes responsibility for efficient utilization of all S&T resources on the project. The project manager does not take responsibility for changes in Internal Cost rates of S&T resources. After such change (usually at the beginning of the fiscal year), the project manager updates the Delivery Plan contained in the BAT to reflect the impact of Internal Cost changes on project profitability.	
2. Prepare Project Recognition Plan (PRP)	F&A M	See Approval Matrix	BUM	PM	F&AM prepares the PRP based on the project deliverables planned in the BAT to assess the correct recognition method. The elements defined in the PRP must be set up in SAP4ALL through WBS elements by the PM.	PRP
3. Handling of Change Requests	PM	See Approval Matrix	AM		The PM has to assess change requests concerning their impact on the project. If the change request is formally accepted by the customer and triggers additional revenue, the BAT has to be updated accordingly. Additional approval is required - just for the change request volume - in accordance with the Approval Matrix. However the BAT has to include the whole project volume (including original project plan plus all change requests).	
4. Prepare Project Status Report (PSR)	PM			F&A M	Prepared monthly by PM. PSR has to be forwarded to F&A until 1pm on the 2nd working day after month-end to ensure proper recognition in accounting.	PSR

Activity \ Role	Responsible	Accountable	Consulted	Informed	Additional Information	Template
					For profitability measurement of outsourcing & support projects, the PSR shall be used as well. However, in those cases, no PoC calculation shall be prepared.	
5. Prepare Project Recognition Report (PRR)	F&AM		PM, BUM		The PRR has to be prepared monthly until 1pm on the 3 rd working day after month-end by F&AM based on the PSRs received from the PMs. This list gives an overview on the recognized values in accounting for all projects.	PRR
6. Prepare Project Cash Flow Plan	PM		F&AM, AM		In cases of increased project cash flow pressure, the PM shall also prepare a project cash flow plan each month.	BAT, Risks & Checkpoints worksheet
7. Evaluate Conditions of Satisfaction (COS)	AM		F&AM, Legal		Every 6 months and at project end the AM shall evaluate with the customer the degree of customer satisfaction based on the criteria defined in the COS at project start.	COS
8. Execute Project Quality Audit	QM		PM, F&AM	BUM, HQ Resp	Once within 6 months for projects > 200 TEUR, or for any other project executed on demand.	To be defined

All documents need to be stored on the respective “Project Controlling” site on Sharepoint.

3 “When to fill what” - Overview of mandatory documents

The following matrix shows mandatory documentation by project type and size:

Template	Template Part (worksheet)	Deal/Project type	Deal/Project size	Comments
Bid Approval Template	Approval Sheet	All	All	
	Delivery Plan	All	All	
	Travel Expenses	Implementation; Outsourcing; Support	All	In cases where weekly or long distance travels are expected.
	Commercial Risks	All	> 50 TEUR	Cash flow plan is mandatory both in sales and delivery phase in case of increased project cash flow pressure.
	Project Risks	Implementation; Outsourcing; Support	> 50 TEUR	
Project Recognition Plan	all	Implementation	> 50 TEUR	
Project Status Report	all	Implementation; Outsourcing; Support	> 50 TEUR	For outsourcing & support projects, no PoC calculation is performed.
Project Recognition Report	all	Implementation	> 50 TEUR	